MIM502 Entrepreneurship — Question Bank (5 Marks Each)

Marks Pattern [(5 obj x 1m) + (4 subj x 5m)]

Q1. What are the factors influencing entrepreneurship?

Economic Factors

- Availability of capital/access to finance
- Availability of raw materials
- Availability of labour and skilled manpower
- Existence of market and demand conditions
- Infrastructure (transport, power, communication)

Social Factors

- Social status and legitimacy given to entrepreneurial activity
- Family background and support system
- Caste, community, and cultural attitudes toward business
- Education and exposure to role models

Psychological Factors

- Need for achievement
- Risk-taking propensity
- Internal locus of control and self-confidence
- Desire for independence and recognition

Political/Government Factors

- Government policies, subsidies, and incentive schemes
- Ease of doing business, licensing procedures
- Political stability
- Tax structure and legal framework

Personal Factors

- Age, education, prior work experience
- Family occupational background
- Motivation and personal ambition

Environmental/Cultural Factors

- Availability of technology and innovation ecosystem
- Cultural values that reward entrepreneurial risk-taking
- Support institutions (incubators, funding bodies, mentors)

Q2. Explain the nature of Entrepreneurship.

- **Creative Destruction** – Entrepreneurship disrupts existing products, processes, and market structures by introducing new and superior alternatives.
- **Creation of an Enterprise** – Involves setting up a new business unit/organization to convert an idea into a going concern.
- **Organization of Function** – Entrepreneurship is essentially an organizing function that brings together land, labour, capital, and enterprise.
- **Risk-Bearing Ability (Immeasurable Uncertainty)** – Entrepreneurs bear uncertainty that cannot be insured or statistically measured, distinguishing them from managers who handle calculable risk.
- **Innovative Ideas** – Core to entrepreneurship is the generation and application of new ideas, products, services, or processes.
- **Managerial as well as Leadership Functions** – Entrepreneurs must plan, organize, staff, direct, and control, while also inspiring and leading teams.
- **Filling the Gap** – Entrepreneurship identifies unmet needs or market gaps and fills them through value-creating solutions.

- **Dynamic, continuous process** rather than a one-time event.
- Involves both an **economic activity (wealth creation) and a social process (employment generation, societal value)**.

Q3. Describe the process of Entrepreneurship.

- **Identification of an Opportunity** – Scanning the environment to spot unmet needs, market gaps, or emerging trends.
- **Idea Germination** – The opportunity is converted into a workable business idea through reflection and research.
- **Incubation** – The idea is nurtured, refined, and tested (often informally) before formal launch.
- **Establishment of a Vision** – Defining long-term goals, mission, and the value proposition of the venture.
- **Gathering Resources** – Mobilizing finance, manpower, technology, and raw materials needed to execute the idea.
- **Adaptability** – Modifying the idea/business model based on feedback, market response, and changing conditions.
- **Creating an Enterprise** – Formal establishment of the business (registration, setting up operations).
- **Managing and Growing the Enterprise** – Day-to-day operations, scaling, and sustaining competitive advantage.
- **Harvesting/Exit (optional stage)** – Eventually the entrepreneur may exit via sale, IPO, or succession.

Q4. What are the functions involved in Entrepreneurship?

Primary Functions

- Innovation – introducing new products, processes, or markets
- Risk-bearing and uncertainty-taking
- Organization building – combining resources (land, labour, capital)
- Decision-making regarding business objectives and strategy

Secondary (Managerial) Functions

- Planning – deciding objectives and course of action
- Organizing – structuring roles, resources, and responsibilities
- Staffing – recruitment and human resource management
- Financing – arranging and managing capital
- Marketing – product/service promotion and distribution
- Controlling – monitoring performance against goals

Other Important Functions

- Research and development for continuous improvement
- Employment generation
- Contribution to capital formation and GDP growth
- Promoting balanced regional development
- Improving standard of living through new products/services
- Corporate social responsibility and ethical practices

Q5. What are the types of barriers in Entrepreneurship?

- **Financial Barriers** – Lack of capital, difficulty in accessing loans/credit, high collateral requirements.
- **Personal Barriers** – Fear of failure, lack of confidence, low risk-taking ability, inadequate skills/knowledge.

- **Environmental Barriers** – Poor infrastructure, unfavourable market conditions, lack of raw material availability.
- **Political Barriers** – Unstable government policies, bureaucratic red tape, corruption, unfavourable regulations.
- **Social Barriers** – Cultural resistance to entrepreneurship, family opposition, low social status attached to business (in some communities), gender-based restrictions.
- **Legal Barriers** – Complex licensing procedures, compliance burden, taxation issues.
- **Technological Barriers** – Lack of access to modern technology and innovation support.

Q6. Steps in Creativity in Entrepreneurship

- **Preparation** – Gathering information, learning, and building a knowledge base relevant to the problem.
- **Incubation** – Subconscious processing of the problem; ideas are mulled over without active effort.
- **Illumination** – The "Eureka moment" — a sudden insight or breakthrough idea emerges.
- **Verification/Evaluation** – Testing and validating the idea for feasibility, practicality, and value.
- **Implementation** – Converting the validated creative idea into an actual product, service, or process.

Q7. Difference between Social Entrepreneurship and Tourism Entrepreneurship.

Basis	Social Entrepreneurship	Tourism Entrepreneurship
Primary Objective	Solving social problems (poverty, education, health)	Providing travel, hospitality, and leisure services
Motive	Social value creation over profit maximization	Profit-driven, though may include sustainable/eco motives
Sector	Cuts across health, education, environment, welfare	Specific to hospitality, travel, and leisure industry
Measure of Success	Social impact and change achieved	Revenue, customer satisfaction, footfall
Beneficiaries	Underserved/marginalized communities	Tourists and travel-related stakeholders
Examples	Microfinance institutions, NGOs turned enterprises	Travel agencies, hotels, eco-tourism ventures

Q8. Explain the relation between Opportunity and Idea.

- An **idea** is a thought or concept for a product/service; an **opportunity** is an idea that has commercial and market viability.
- Not every idea becomes an opportunity — an idea must satisfy a real market need, be feasible, and be value-creating to qualify as an opportunity.
- Opportunity identification is the process of screening and evaluating multiple ideas to select the most viable one.
- An opportunity has attributes that an idea alone may lack: market demand, timing, competitive advantage, and profitability.
- Entrepreneurship begins with idea generation but succeeds only when the idea is converted into a validated opportunity.

- The relationship is sequential: **Idea → Screening/Evaluation → Opportunity → Venture Creation.**

Q9. Difference between Entrepreneur and Businessman

Basis	Entrepreneur	Businessman
Approach	Innovator; introduces new products/processes	Follower; runs established/conventional business
Risk	Bears high, often uncalculated risk	Bears normal, calculated business risk
Motive	Innovation, creation of value, growth	Primarily profit-making
Nature	Dynamic, change-oriented	Relatively routine and stable
Focus	Opportunity-driven, future-oriented	Resource/market-driven, present-oriented
Reward	Profit as well as psychological satisfaction of creation	Profit as the main reward

Q10. Difference between Fabian and Drone Entrepreneur

Basis	Fabian Entrepreneur	Drone Entrepreneur
Attitude to Change	Cautious, skeptical; adopts change only when necessary	Resistant to change; refuses to adopt new methods
Risk-Taking	Low; imitates only after seeing others succeed	Almost none; sticks to traditional practices even at a loss
Innovation	Very limited; follows only proven ideas	No innovation at all
Survival Approach	Follows established entrepreneurs cautiously	May run into losses due to rigidity
Example Behaviour	Waits and watches before adopting new technology	Continues with outdated processes despite losses

Q11. Explain:

(a) Excubator

- An excubator supports entrepreneurship by helping an established organization spin off or externalize a new venture/idea outside its existing structure.
- It focuses on taking an idea that is already developed within a firm and helping it grow independently in the external market.
- Used typically by large corporations to commercialize internal innovations without disrupting core operations.

(b) Incubator

- A business incubator is an institution/facility that supports early-stage entrepreneurs by providing infrastructure, mentoring, funding access, and business support services.
- It nurtures a business idea from concept to a self-sustaining enterprise.
- Services include office space, technical guidance, networking, seed funding assistance, and legal/compliance support.
- Common in universities, government schemes (e.g., Startup India), and corporate innovation hubs.
- Main goal: reduce the failure rate of startups by supporting them in the critical early phase.
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Q12. Relation between Entrepreneur, Intrapreneur, and Extrapreneur

- **Entrepreneur** – An individual who independently identifies opportunities, bears risk, and creates a new enterprise from scratch, owning the venture and its outcomes.
- **Intrapreneur** – An employee within an existing organization who acts entrepreneurially — innovating, taking initiative, and driving new projects using the organization's resources, without bearing personal financial risk or ownership.
- **Extrapreneur** – A person who uses entrepreneurial skills learned within an organization to create ventures outside it, often spinning off using external resources while leveraging internal experience/network.
    - The distinction between them lies in the *context and ownership of risk*: an entrepreneur risks personal capital independently; an intrapreneur operates within organizational boundaries with organizational backing; an extrapreneur bridges both, exiting the organization to independently apply the entrepreneurial mindset developed inside it.
- Together they represent a continuum of entrepreneurial behaviour — from fully independent (entrepreneur) to organization-bound (intrapreneur) to organization-to-independent transition (extrapreneur).

MCQs (7 Questions with Answers)

1. "Creative destruction" was given by _____ (Joseph Schumpeter)

2. Odd one out: Idea germination / Incubation / Depreciation / Vision → _____ (Depreciation)

3. Fear of failure & low confidence = _____ barrier (Personal)

4. Sudden breakthrough idea stage in creativity = _____ (Illumination)

5. Entrepreneur who resists change even at a loss = _____ entrepreneur (Drone)

6. Employee who innovates using org's own resources = _____ (Intrapreneur)

7. Incubators mainly provide _____ & _____ to startups (Infrastructure, mentoring/support)